

Audit Memorandum – Expense Reimbursement Review

[REVISED SU2026]

To: Professor Litley

From: Joseph Abadilla

Subject: Expense Reimbursement Audit – Derek S. Hill

Date: 09/21/2026

1. Key Risks Identified

Prior to performing audit procedures, the following risks were identified:

1. **Fabricated or fictitious receipts.** The consultant submits receipts for expenses that never happened, or creates fake ones. Reimbursements are cash going out the door, which makes this high susceptibility to fraud. (Existence/occurrence)
2. **Personal expenses claimed as business.** A meal, a rideshare, or a hotel that was really personal gets submitted as business. Business purpose is hard to verify from a receipt alone. (Occurrence, classification)
3. **Altered receipt amounts or details.** The policy accepts electronic copies rather than originals, so a consultant could edit the total, date, or vendor on a scanned or photographed receipt before submitting. (Accuracy)
4. **Duplicate reimbursement.** The same receipt is submitted more than once, either across months or slightly modified each time. (Existence/occurrence)
5. **Double-dipping between the company and the client.** Because Byte Me does outsourced consulting, some expenses may be billable to the end client. A consultant could get reimbursed by Byte Me and by the client for the same cost. (Occurrence)
6. **Mileage overstatement.** Miles are self-reported and easy to inflate. Personal trips can be dressed up as business, or the same trip claimed twice. The map requirement helps, but it's still self-prepared evidence. (Accuracy/existence)
7. **Wrong mileage rate applied.** Reimbursement should use the 2023 IRS standard rate, which was 65.5 cents per mile. Applying a higher rate, or a prior-year rate, overstates the claim. Worth verifying the math on his mileage line. (Accuracy)
8. **Expenses over \$1,000 without required prior approval.** The policy requires supervisor sign-off and attached documentation above \$1,000. A missing approval is a compliance failure. (Compliance)
9. **Structuring to dodge the approval threshold.** Splitting one large purchase into several sub-\$1,000 receipts to avoid needing approval. Watch for multiple similar receipts just under the limit. (Compliance/occurrence)
10. **Late submissions reimbursed anyway.** Policy says anything past 30 days is not reimbursable. The risk is that stale expenses slip through and get paid. (Compliance/cutoff)

11. **Cutoff errors.** An expense from December or February landing in the January submission, or getting recorded in the wrong period. (Cutoff)
12. **Receipts missing required elements.** Policy requires date, vendor, itemized items, and total. Non-itemized receipts (a credit card slip with just a total, for example) make it impossible to confirm what was actually bought. (Accuracy/occurrence)
13. **No segregation of duties.** The consultant incurs the expense, documents it, and submits it, all as one person with no independent check at the source. That concentration is what makes the whole process risky to begin with. (Overall control environment / fraud)
14. **Time sheet does not align with services or deliverables.** Hours reported may be padded or may not match what was actually delivered to the client. (Occurrence/accuracy)
15. **Tip or add-on padding.** Inflated gratuities or non-reimbursable extras (alcohol, upgrades) bundled into an otherwise legitimate receipt. (Accuracy)

2. Procedures Performed

The following procedures were performed:

- Imported Derek's 2023 time and expense report into DataSnipper along with all supporting documentation and organized them into Receipts and Mileage folders.
- Vouched each expense to its receipt
- Confirmed the reported mileage
- Confirmed the daily and report totals
- Ensured each day with an expense and/or mileage had corresponding hours and an appropriate description
- Recorded issues in auditing notes and a comment on the receipt where a discrepancy was identified (see dinner receipt on 1/12/23)

3. Audit (DataSnipper Testing) Findings

- Finding 1: Key Exception (Accuracy) - Reported dinner does not agree to the receipt (1/12, \$323.23). The amount recorded on the expense report for the January 12 dinner does not match the supporting receipt, and the tip shown on the receipt is not reflected in the report. The report and its evidence disagree, which is an accuracy exception and a reason to question how the report was prepared.
- Finding 2: Key Exception (Occurrence) - The dinner on January 11th covers food for two people, which includes a guest with no stated business purpose and not eligible for reimbursement according to the policy.
- Finding 3: Key Exception (Existence) - On January 26th, there is 54 miles claimed at a total expense of \$35.37 with no map receipt attached, as well as zero working hours claimed or business description. This raises the question whether the trip even occurred and whether it was for the company or not.
- Finding 4: There is a vague business description on January 27th. It reads "Miscellaneous" and needs clarification.

- Finding 5: There is a business breakfast logged on January 6th with no receipt attached. It does not hurt the financial statement, but the record stands as incomplete.

4. POTENTIAL Additional Audit Tests That Could Be Performed - Based on the Pre-Testing Risks and Results of DataSnipper Testing Procedures [To prepare for the related Canvas Quiz, List between five and ten]

- 1. Re-foot and recompute the entire report:** recalculate each mileage line as miles × the current-year IRS rate and re-add every column. (Accuracy) Catches wrong-rate and arithmetic errors.
- 2. Two-way vouch and trace:** vouch each reported amount to its receipt, then trace each receipt back to the report. (Existence + completeness) Catches the 323.23 mismatch and any receipt that was claimed twice or not at all.
- 3. Receipt authenticity and completeness inspection:** check every receipt for the four required elements (date, vendor, itemization, total) and for signs of alteration such as mismatched fonts, misaligned totals, or edited PDF metadata. (Accuracy) The policy accepts electronic copies, so alteration is a live risk.
- 4. Meal reasonableness scan:** review meal receipts for alcohol, extra guests, or outsized tips, and compare each against a per-diem or reasonableness threshold. (Occurrence/classification)
- 5. Approval-threshold test:** identify any single expense over 1,000 and check for the required attached approval, and look for amounts clustered just under 1,000 that suggest splitting. (Compliance)
- 6. Cross-check to client billings:** compare reimbursed items to what was billed to the end client on the same project to detect double-dipping. (Occurrence)
- 7. Cutoff and timeliness test:** compare each receipt's transaction date to the submission date, flagging anything older than 30 days or dated outside January. (Cutoff/compliance)
- 8. Time-card-to-expense reconciliation:** confirm every expense or mileage day has corresponding logged hours and a real business description, and that hours tie to a signed engagement or deliverable. (Occurrence) Catches the zero-hours Jan 26 mileage and the vague Jan 27 entry.
- 9. Duplicate detection:** sort all receipts by vendor, amount, and date, including against prior months, to surface the same receipt submitted more than once. (Existence)
- 10. Missing-cost search:** look for expected costs that are absent, like the missing Chicago airfare, and inquire who paid. (Completeness/occurrence)

11. **Vendor confirmation for larger items:** verify the Hilton stay against its confirmation number and the Uber trips against their trip IDs. (Existence)

5. Additional Audit Test and Results (Actually) Performed

- Selected Risk: **Altered receipt amounts or details.** The policy accepts electronic copies rather than originals, so a consultant could edit the total, date, or vendor on a scanned or photographed receipt before submitting. (Accuracy)
- Test Performed: **Receipt authenticity and completeness inspection:** checked every receipt for the four required elements (date, vendor, itemization, total) and for signs of alteration such as mismatched fonts, misaligned totals, or edited PDF metadata. (Accuracy)
- Results: All receipts had the date, vendor name, items, and total. They were checked for mismatched fonts, misaligned totals, or any other edits. Receipts seem authentic and complete.

6. Conclusion

Based on the procedures performed, exceptions were identified in the expense reimbursement process. These findings suggest that certain controls may not be operating effectively and require follow-up. In addition, there were a number of issues identified that may also benefit from revisions and clarifications to existing policies, or the addition of new policies.